

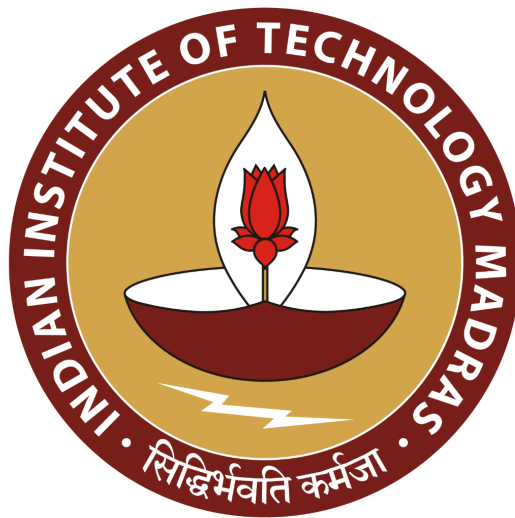
CASE STUDY OF A KIRANA STORE : PROBLEMS, STRATEGIES AND APPROACH

A Proposal report for the BDM Capstone Project

Submitted by

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Declaration Statement:

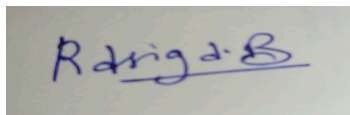
I am working on a Project titled “Case study of A Kirana Store:Problems , Strategies And Approach”. I extend my appreciation to Kanish Stores, for providing the necessary resources that enabled me to conduct my project.

I hereby assert that the data presented and assessed in this project report is genuine and precise to the utmost extent of my knowledge and capabilities. The data has been gathered through primary sources and carefully analyzed to assure its reliability.

I understand that the execution of this project is intended for individual completion and is not to be undertaken collectively. I thus affirm that I am not engaged in any form of collaboration with other individuals, and that all the work undertaken has been solely conducted by me. In the event that plagiarism is detected in the report at any stage of the project's completion, I am fully aware and prepared to accept disciplinary measures imposed by the relevant authority

I agree that all the recommendations are business-specific and limited to this project exclusively, and cannot be utilized for any other purpose with an IIT Madras tag. I understand that IIT Madras does not endorse this.

Signature:

A rectangular box containing a handwritten signature in blue ink. The signature appears to be "R. Ariga B." with a horizontal line underneath the name.

Name : Rasiga.B

Date : 01-08-2024

1.EXECUTIVE SUMMARY:

The project centers on a small grocery shop named Kanish stores located near my neighborhood. The shop operates on a B2C model providing products to customers directly. The store is facing difficulties in attaining daily profits and maintaining optimal stock levels.

The main objective of this proposal is to find and close the gap between sales and purchase volumes, to gain a better understanding of demand and supply chains, and to be able to better manage inventory levels.

By adopting optimized inventory management, improving customer support and leveraging a data-driven approach, the business will be able to reduce unnecessary costs, increase sales and achieve a more stable and profitable financial position.

The expected outcome of this project is to implement effective strategies for Kanish stores aimed at increasing profitability and improving operational efficiency. In summary the project proposal offers a complete analysis of data and provides suggestions to address the challenges faced by the store .

2.ORGANIZATION BACKGROUND:

Name : Kanish store

Owner: Mrs Kamala

Address : No 20, Thirunagar 2nd extension, Thiruvottiyur, Chennai-19

Kanish Store is a small kirana store that sells grocery items like vegetables, milk, masala products etc. The store was established in 2023 by Mrs.Kamala and has 3 employees. Before opening this shop, the owner had previously operated another general store, gaining 6 years of experience in the field.

The store sources its products by buying in bulk from wholesale stores, allowing them to offer competitive prices to their customers. To kick start the business, a sum of Rs. 1,00,000 was invested as initial capital and an additional Rs. 50,000 was allocated for store refurbishment.

3.Problem Statement:

3.1 Sales are not booming due to inefficient stock management. The store involves purchasing the same quantity of products daily, regardless of demand fluctuations or seasonal patterns.

3.2 The store's practice of selling products to customers on credit without proper management takes a dig at the monthly profit of the store. It results in a significant drain on the store's resources and impacts its overall financial health.

4.Background of the Problem:

4.1 Background of problem 1:

The shop procures goods from wholesalers every day and usually needs Rs 6,000-7,000. But despite continuous sales efforts, the shop is only able to sell goods worth Rs 5,000.

This shortfall in revenue is due to the fact that the shop also purchases items that have limited demand among local customers, such as school bags, soap dispensers, etc. That contributes partially to not getting enough profit.

4.2 Background of problem 2:

Customers frequently purchase items on credit with an agreed payment period of one week or one month. However, the shop owner neglects to maintain accurate records, occasionally resulting in failure to collect payments within the designated time frame.

In the long run, this can damage the store's reputation and dissuade loyal customers who value timely, transparent transactions.

5.Problem-Solving Approach:

5.1 Details about the intended data collected with justification:

At Kanish Stores, the present system mainly depends on manual record keeping in notes which brings along both difficulties and chances for improving the efficiency of operations and making strategic choices. With detailed data such as sales figures, inventory levels, and purchase patterns from Kanish Stores, we can find several key indicators to enhance the store's performance.

The inventory turnover ratio will indicate the efficiency of stock management by showing how frequently inventory is sold and replaced. The average profit of a shop provides an overview of the shop's overall financial performance over a specific period. Profit margin is a financial ratio that measures the percentage of profit a company earns in relation to its revenue. It is an important metric for evaluating a business's profitability and efficiency.

5.2 Details about the tools used with justification:

I will use tools like excel, python and tableau for analysis of this data. Excel will be useful in data cleaning which is a crucial step in ensuring the quality of the data before undertaking any further steps. In python, NumPy is useful for finding numerical operations, such as calculating metrics like the inventory turnover ratio. Panda is used for data cleaning.

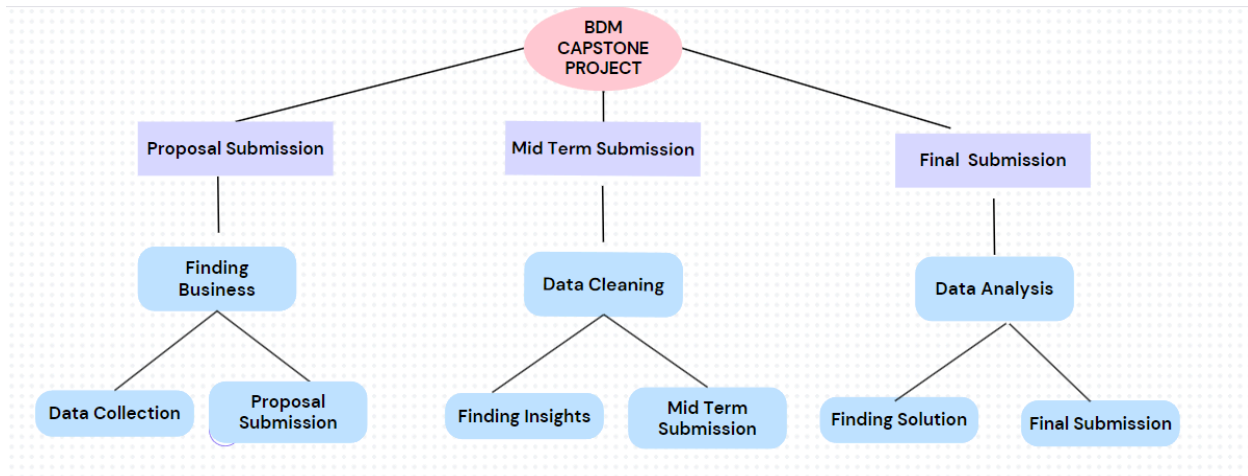
5.3 Details about the methods used with justification:

The shop currently records the data manually in a notebook . So the data first needs to be cleaned and transformed into a spreadsheet format. To know more about purchase trends and patterns, various charts and graphs are used like scatter plots, box-whisker plots, candlestick charts and heat maps.

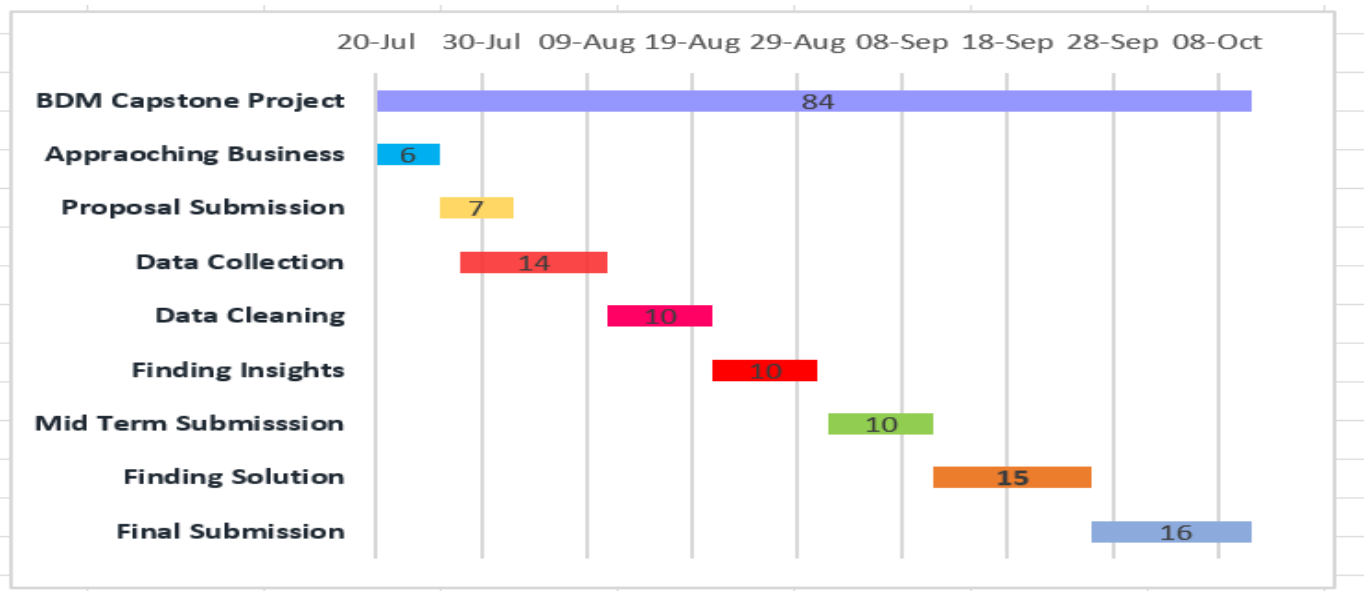
Scatter Plots helps to explain the relationship between customer account balances and their purchasing frequency. Heat maps help in finding underperforming products that may need more attention. Candlestick charts visualize the variations in profit margins for various products over time. Box whisker plots show the spread of inventory levels for various products.

6.EXPECTED TIMELINE:

6.1 Work Breakdown Structure:



6.2 Gaant Chart:



7 Expected Outcome:

Present a comprehensive plan to make their stock management system more efficient and economical

To enhance the shop's profitability by examining data and offering a solution to maximize their profits through data analysis and visualization.